

The New York Symphony

FOUNDED 1921 · A NONPROFIT PERFORMING ARTS ORGANIZATION

Investment Policy Statement

Adopted by the Board of Directors · September 2021 · Supersedes the 2016 Policy

1. Purpose

This Investment Policy Statement (the “Policy”) sets forth the objectives, guidelines, and responsibilities governing the management of the long-term investment assets of The New York Symphony (the “Symphony”), including its permanent endowment and board-designated funds (together, the “Endowment”). It is intended to provide a framework for prudent management consistent with the Symphony’s mission and its obligations under New York’s Prudent Management of Institutional Funds Act (NYPMIFA).

2. Investment Objectives

The primary objective of the Endowment is to provide a stable and growing stream of support for the Symphony’s operations and programs while preserving the inflation-adjusted value of the corpus over the long term. The Endowment seeks a total return sufficient to support the annual spending policy plus inflation and investment costs, measured over rolling five-year periods.

3. Asset Allocation

The Endowment shall be diversified across asset classes. The Finance Committee has adopted the following target allocation and permissible ranges:

ASSET CLASS	TARGET	RANGE
Domestic Equity	40%	30–50%
International Equity	20%	10–30%
Fixed Income	30%	20–40%
Alternatives (incl. real assets)	7%	0–15%
Cash & Equivalents	3%	0–10%
Total	100%	—

The Committee recognizes that the current allocation is equity-oriented and relatively traditional. The use of alternative investments has been limited to date. The Committee may revisit the role of private investments and inflation-sensitive assets in a future review.

4. Spending Policy

The Symphony shall apply an annual spending rate of **5.0%** of the trailing twelve-quarter (three-year) average market value of the Endowment, determined as of June 30. The Finance Committee may, in its discretion, recommend a rate between 4.5% and 5.5% in any given year in light of operating needs and market conditions. Appropriations supporting donor-restricted funds shall be made in accordance with the applicable gift instruments and NYPMIFA.

5. Roles and Responsibilities

Board of Directors

Retains ultimate fiduciary responsibility for the Endowment, approves this Policy and any amendments, and approves the annual spending appropriation.

Finance Committee

Oversees implementation of this Policy, sets the target asset allocation, selects and monitors the investment consultant and managers, and reviews performance no less than semi-annually.

Investment Consultant

The Symphony retains an external investment consultant on a non-discretionary basis to advise on asset allocation, recommend managers, and report on performance. Implementation decisions are approved by the Finance Committee.

Custodian

Holds the assets of the Endowment, settles transactions, and provides periodic statements.

6. Rebalancing

The portfolio shall be reviewed at least annually and rebalanced toward target weights when an asset class drifts outside its permissible range. Rebalancing shall consider transaction costs and may be implemented using cash flows where practicable.

7. Permitted and Prohibited Investments

Permitted investments include mutual funds, exchange-traded funds, separately managed accounts, and commingled vehicles. The following are prohibited without prior Finance Committee approval: direct ownership of commodities or real estate, short selling, the use of leverage, and direct investments in private securities. The Committee may consider donor preferences regarding mission-aligned or socially responsible investing on a case-by-case basis.

8. Review

This Policy shall be reviewed by the Finance Committee at least every two years and amended as appropriate, subject to approval by the Board of Directors.

Approved on behalf of the Board of Directors:

Robert Kim, Chair, Finance Committee

Eleanor Vance, Chair, Board of Directors